indoor waterfall, a hedge maze, and a mirror maze. It also houses numerous retail outlets, including duty-free shops, luxury boutiques and convenience stores, a children's play area, a movie theatre, etc. Changi also offers city tours to its layover passengers. These services contribute almost 48 per cent to the airport's revenue.

Delhi's T3, by contrast, has a 2.15 lakh sq. ft retail space that includes restaurants and shopping facilities, but falls far short of what an international hub offers. The foodcourt in Dubai's Terminal 3 alone covers 22,000 sq. ft. Meanwhile, IGI's total income from non-aeronautical sources was only Rs 248 crore last fiscal. "Indian airports will evolve over a period of time into strong gateways with dense networks. We can't create another Dubai... and we must be realistic about our ambitions," says Kapil Kaul, CEO of the Centre for Asia Pacific Aviation (CAPA).

WHERE ARE THE AIRLINES?

Airport infrastructure is just one piece of the puzzle. India cannot have a hub unless one or two strong airlines play ball, matching the government's ambition with aggressive, planned investments. With India seeing a massive post-Covid recovery in air passenger numbers, the industry, including the International Air Transport Association (IATA), estimates that India's passenger market will become the third largest in the world in a decade. Riding on this boom is the ambition of India's two airlines—Air India and IndiGo.

Activating its expansion plan, Air India, following its induction into the Tata Group, has ordered 470 planes from Airbus and Boeing, including 40 widebodies in addition to the 43 it has already. IndiGo, on the other hand, has placed an order with Airbus for 500 A320s to be delivered between 2030 and 2035. Its overall order pipeline is for around 950 aircraft, to be delivered in phases over the next 10 years. These include the A321XLRs, which are long-range narrow-body aircraft with a run time of around 10 hours. This will open up direct connectivity to destinations in most of Asia and Europe, operated previously only by widebodies. The first one is expected this year. It has already leased two wide-body Boeing B777s. IndiGo, India's largest airline commanding an over 55 per cent of the market share, aims to double its fleet size by the end of 2030, and 'transform from a domestic carrier to a global aviation giant'.

But is it enough? The entire 261-strong fleet of the Emirates is comprised of A380 and Boeing 777s, flying to 135 destinations every year. Singapore Airlines has 161 aircraft, mostly widebodies. Turkish Airlines has 450, both wide- and narrowbodies. In contrast, Air India has 205 aircraft, which include both wide- and narrow-bodies, operating 84 flights every day, of which 40 are international.

THE SKY IS THE LIMIT

India will have to open up its skies to carriers from West Asia to accommodate the global traffic growth beyond 2030. "This will require a focus on terminal design, passenger processes (including digitisation), airside amenities and cost efficiency, among other things," says Amitabh Khosla, IATA's country director for India. "All this will help India serve as an international hub in the future."

India has bilateral agreements with 116 countries, including 'open skies' agreements with the US and Japan. Most agreements, though, limit the number of seats or flights per week. The agreement with Dubai, for example, allows 66,000 seats per week, which the airlines of both countries fully utilise. Indian officials have declined to increase this quota, as foreign carriers primarily transport passengers to Europe and America via Dubai, limiting opportunities for Indian carriers to expand. The National Civil Aviation Policy of 2016 outlines guidelines for these agreements. A committee led by the Cabinet Secretary will recommend methods for allocating additional capacity entitlements to countries within a 5,000 km radius where Indian carriers haven't utilised 80 per cent of their capacity. Bilateral agreements will be renegotiated where capacity has been fully utilised.

Outlining the task before India, Girish Nair of KPMG India says, "Network carriers and hub airlines need to work closely with partner airports to ensure the highest level of customer experience. Regulators and other government stakeholders also need to bring about relevant changes in policies and processes to cater to the changing business environment and traffic flows through our airports."

After all, mega-hub structures in Dubai, Doha and Istanbul, which in size, scale, ambition and quality are now global benchmarks, were the result of conscious state policy. The Dubai hub, for example, was a product of the single-minded, solid backing of the State. This allowed coordinated development of the airport and the airline, along with other variables such as the creation of tourism, entertainment and shopping attractions. The Indian government is planning to form an inter-ministerial group to thrash out the sundry details. "The group will need to have the home, external affairs and other relevant ministries because this is not just a civil aviation matter," says a senior government official. With determination on its side, it is only a matter of time before the Indian ambition for an international hub takes wing. ■



KAPIL KAUL
CEO, Centre for Asia Pacific Aviation India

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